

Avneet Luthra vs Sunita Vijay on 29 July, 2025

THE COURT OF MS DESHNA GOLECHHA
JMFC (NI ACT DIGITAL COURT 03), WEST DISTRICT
TIS HAZARI COURTS, DELHI
CC NO.2022/2022

SH. AVNEET LUTHRA
S/o Sh. Kishan Singh
R/o A2/104, Rajouri Garden,
New Delhi-110027

...Complainant

VERSUS

1. MS. SUNITA VIJAY
W/o Sh. Deepak K Vijay

2. MR. DEEPAK K VIJAY
Both R/o A-1/701, M3M Wood Shire,
Sector 107, Gurugram,
Haryana-122006

...Accused Persons

Case Number Record (CNR)	:	DLWT02-013180-2022
Date of filing	:	16.07.2022
Offence complained of	:	Section 138 Negotiable Instrument Act, 1881
Police Station	:	Kirti Nagar
Plea of Accused	:	Pleaded not guilty
Final Decision	:	Accused no.1 convicted Accused no.2 acquitted
Final Arguments Concluded on	:	19.07.2025
Date of Decision	:	29.07.2025

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JUDGMENT

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1. Vide this judgment, the complaint CC No. 2022/2022 filed by Avneet Luthra against Sunita Vijay and Deepak K Vijay in respect of dishonour of one cheque bearing no. 864874 dated 02.02.2022 for a sum of Rs. 29,00,000/- in favour of the complainant is being disposed of.

Factual Matrix of the case:

2. Briefly stated, facts of the case as alleged are that Accused No. 1 and No. 2, who are husband and wife, agreed to sell their property at F-138, Third Floor, Rajouri Garden, New Delhi, for Rs.98,00,000/- and received Rs.57,00,000/- as part payment. Two sale deeds were executed for a 25% share each in favor of the Complainant and one of his acquaintances. Subsequently, it came complainant's knowledge that the property had already been mortgaged to Punjab National Bank for a Rs.1 crore loan. Upon confrontation, the accused pleaded with the Complainant to pay Rs.29,00,000/- to the bank to help discharge the mortgage liability, which was agreed upon and formalized through an MOU dated 02.12.2021. In consideration, the accused no.1 issued a cheque bearing no. 864874 for Rs.29,00,000/- dated 02.02.2022 drawn on the joint account maintained by her and accused no.2 with PNB Bank, Kotla Mubarakpur, New Delhi (hereinafter "the cheque in question"). On presentation of the cheque in question, same was returned dishonoured vide return memo dated 13.04.2022 with remark "advice not received". Consequently, the complainant served a legal demand notice dated 07.05.2022 on the accused persons at their address through Speed Post, which was duly delivered. Despite service, the accused persons failed to pay the cheque amounts within the statutory period of 15 days.

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Hence, the present complaint under section 138 of the Negotiable Instruments Act, 1881 (hereinafter "NI Act") is lodged.

3. On appearance of the accused persons, notice of accusation u/s 251 Cr.PC was framed upon them on 23.01.2023 to which they pleaded not guilty and claimed trial. In their plea of defence, the accused no.1 stated that "The cheque in ques- tion has been issued from my and my husband's account. The amount, date and name of the party on the cheque in question were not filled by me. We sold a property to the complainant and the property was mortgaged with the bank. We got a OTS (one time settlement) from the bank. We made a deal with the com- plainant and he was supposed to pay the final amount by February 2020 but he made only a part payment of Rs. 57 Lakhs out of Rs.98 Lakhs. Thereafter, Covid started and payment could not be made for a long time and last date of the OTS was March, 2020 and OTS became ineffective. I am only liable to pay a part sum of the cheque amount and not the complete cheque amount. A false case has been instituted against me."

4. Accused no.2 in his plea of defence stated that "The cheque in question has been issued from my and my husband's account. The amount, date and name of the party on the cheque in question were not filled by me. We sold a property to the complainant and the property was mortgaged with the bank. We got a OTS (one time settlement) from the bank. We made a deal with the complainant and he was supposed to pay the final amount by February 2020 but he made only a part payment of Rs. 57 Lakhs out of Rs.98 Lakhs. Thereafter, Covid started and pay- ment could not be made for a long time and last date of the OTS was March, 2020 and OTS became ineffective. I am only liable to pay a part sum of the cheque amount and not the complete cheque amount. A false case has been insti- tuted against me."

5. Thereafter, accused was allowed the right of cross-examination under Section 145(2) NI Act.

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6. To prove his case, the complainant examined himself as CW-1. CW-1 tendered his evidence by adopting his affidavit dated 09.06.2022 Ex. CW-1/1, was cross-examined and discharged. He also relied upon the following documents:

1. Agreement to sell dated 07.08.2019 Ex. CW1/A,
2. Police complaint Ex. CW1/B,
3. MOU dated 02.12.2021 Ex. CW1/C,
4. Cheque dated 02.02.2022 Ex. CW1/D,
5. Return memo Ex.CW1/E,
6. Legal notice dated 07.05.2022 Ex.CW1/F,
7. Original postal receipts Ex.CW1/G,
8. Tracking report Ex.CW1/H colly,
9. Certificate u/s 65B Indian Evidence Act Ex.CW1/I.

7. After examining CW-1, complainant's evidence was closed vide order dated 14.05.2024.

8. Next, Statement of the accused persons u/s 313 Cr.P.C were recorded on 14.05.2024. They stated that "We sold a property to the complainant and the property was mortgaged with the bank. We got a OTS (one time settlement) from the bank. We made a deal with the complainant and he was supposed to pay the final amount by February, 2020 but he made only a part payment of Rs.57 Lakhs out of Rs.98 Lakhs. Thereafter, Covid started and payment could not be made for a long time and last date of the OTS was March, 2020 and OTS became ineffective. I am only liable to pay a part sum of the cheque amount and not the complete cheque amount. A false case has been instituted against me."

9. Thereafter, defence evidence was led by the accused. The accused no.1 examined herself as DW1. She was cross-examined and discharged on 09.09.2024.

10. Next, accused no.2 examined himself as DW2. He was cross-examined and dis-

charged on 16.12.2024.

11. Final arguments were orally heard. Written submissions were filed on behalf of both the parties.

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12. I have perused the case file and documents placed on record by both the parties and duly considered the submission made by Ld. Counsel for the complainant and the accused.

Relevant provisions of The law:

13. Before appreciating the facts of the case, it is pertinent to refer to the relevant provisions of law. Section 138, NI Act was introduced with the objective of inculcating faith in the efficacy of banking operations and giving credibility to negotiable instruments in business transactions. The provision intends to discourage people from not honoring their commitments by way of payment through cheques.

14. In Gimpex Private Limited vs. Manoj Goel [2021] 11 S.C.R. 432, Hon'ble Supreme Court has laid down the ingredients of the offence under Section 138 of the NI Act as follows:

A. Drawing of the cheque by a person on an account maintained by him with a banker, for payment to another person from out of that account. B. The cheque being drawn for discharge in whole/part any debt or other liability;

ity;

C. The cheque has been presented to the bank within a period of six months (now three months) from the date on which it is drawn or within the period of its validity whichever is earlier;

D. Returning of the cheque unpaid by the drawee bank for want of sufficient funds to the credit of the drawer or any arrangement with the banker to pay the sum covered by the cheque;

E. Giving of notice in writing to the drawer of the cheque within 30 days of the receipt of information by the payee from the bank regarding the return of the cheque as unpaid demanding payment of the cheque amount;

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F. Failure of the drawer to make payment to the payee or the holder in due course of the cheque of the amount covered by the cheque within 15 days of the receipt of the notice.

15. All these factors cumulatively constitute an offence under Section 138 NI Act.

Thus, the burden of proof is upon the complainant to prove all the above ingredients against the accused beyond reasonable doubt to secure a conviction against them.

16. The Hon'ble Apex Court in catena of judgments including *Kumar Exports v.*

Sharma Carpets, (2009) 2 SCC 513; *Rangappa v. Sri Mohan*, (2010) 11 SCC 441 and *Basalingappa v. Mudibasappa*, AIR 2019 SC 1983, 3 SCC 35 has expounded the scope of Section 139 r/w Section 138 NI Act.

17. From an understanding of principles laid down in the aforesaid judgments, it is borne out that once the complainant proves that the cheque was drawn/issued by the accused, the mandatory rebuttable presumption under Section 139 of the NI Act gets activated. As soon as the presumption is raised, the onus shifts upon the accused to rebut the presumption on the standard of preponderance of probabilities. The accused can discharge his onus by raising a probable defence where the existence of debt/liability can be contested. This can be done either by leading defence evidence or by specifying lacunae in the complainant's case. It may comprise of direct or circumstantial evidence.

18. Once the accused discharges the onus of rebutting the presumption under Sec-

tion 139 NI Act, it is incumbent upon the complainant to prove the existence of debt/other liability as a matter of fact without the support of the presumptive device under Section 139 NI Act. Thus, the complainant has to discharge the burden of proving its case beyond reasonable doubts with or without the aid of section 139, as the case may be.

19. The present case is that of a cheque drawn on a joint account where only one of the account holders is a signatory. Accused no.1 has admittedly signed the cheque in question drawn on an account maintained by accused no.1 and 2 jointly. Accused no.2 is not a signatory to the cheque in question. Thus, it needs *DESHNA GOLECHHA GOLECHHA* Date: 2025.07.29 16:09:37 +0530 CC No. 2022/2022 Page 6 of 17 Avneet Luthra Vs. Sunita Vijay to be determined at the outset whether the merits need to be examined at all as regards the liability of accused no.2.

20. It is a settled position of law, as reiterated by the Hon'ble Supreme Court in *Aparna A. Shah v. Sheth Developers & Ors.* (2013), that in the case of a dishonoured cheque drawn from a joint account, liability under Section 138 of the NI Act, can be fastened only on the person who has actually signed the cheque. Mere status as a joint account holder does not attract penal consequences under Section 138 in the absence of a signature on the dishonoured instrument.

21. In *Neeta Gupta v. Suman Anand*, decided on 02.02.2024, the Hon'ble Delhi High Court reaffirmed the legal position that under Section 138 of the Negotiable Instruments Act that the liability arises only against the person who has signed the dishonoured cheque. The Court held that a joint account holder who has not signed the cheque cannot be proceeded against merely by virtue of joint ownership of the account. Relying upon the Hon'ble Supreme Court's dictum in *Aparna A. Shah v. Sheth Developers*, Hon'ble High Court quashed the criminal proceedings against the non-signatory accused, observing that her prosecution amounted to an abuse of the legal process. This decision thus reinforces the settled principle that the offence under Section 138 NI Act is strictly attracted only against the drawer who has actually signed the cheque.

22. In the present matter, the cheque in question was issued from a joint account held by Accused No. 1 and Accused No. 2. However, it is an admitted fact that only Accused No. 1 has signed the said cheque. In light of the legal position as discussed above, liability under Section 138 of the Negotiable Instruments Act can be fastened only upon the drawer who has actually signed the cheque. Consequently, no culpability can be attributed to Accused No. 2, and therefore, the merits of the case need not be examined with respect to the liability of Accused No. 2.

23. As regards the first ingredient, accused no.1 has admitted her signatures on the cheque in question. She denied filling of particulars on the cheque in question in DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:09:44 +0530 CC No. 2022/2022 Page 7 of 17 *Avneet Luthra Vs. Sunita Vijay* her plea of defence under Section 251 CrPC. It is settled law that once the drawer admits her signatures on a cheque even if it is inchoate, the presumption under Section 139 NI Act will be raised. In the present case, the accused no.1 has admitted that the cheque in question bears her signatures and is drawn on her account jointly maintained with her husband and therefore, by admission, first ingredient stands satisfied.

24. As regards the third ingredient, it is undisputed that the cheque was presented within 3 months of the date of cheque and the same is evident from Ex. CW1/D and Ex.CW1/E.

25. With respect to the fourth ingredient, the dishonour of cheques in question for the reason "advice not received" is also undisputed and is a matter of record as sufficiently evidenced by Ex. CW1/E. Now, it remains to be seen if this reason is covered within the ambit of Section 138 NI Act or not.

26. It is well settled that Section 138 of the Negotiable Instruments Act, 1881, is pri-

marily attracted in two contingencies- firstly, when the drawer's bank account lacks sufficient funds to honour the cheque, and secondly, when the amount mentioned in the cheque exceeds the arrangement made with the bank. Nonetheless, the Hon'ble Supreme Court, through a catena of decisions, has expanded the interpretation of this provision to encompass cases where the dishonour of the cheque has occurred for reasons other than the aforementioned two.

27. Reliance can be placed on *M/s Laxmi Dychem vs. State of Gujarat* 2012 (13) SCC 375 wherein it was held that:

"We find ourselves in respectful agreement with the decision in NEPC Micon Ltd. (supra) that the expression "amount of money is insufficient" appearing in Section 138 of the Act is a genus and dishonour for reasons such "as account closed", "payment stopped", "referred to the drawer" are only species of that genus."

28. Thus, Hon'ble Supreme Court has taken note of situations and contingencies arising out of deliberate acts/ omission/commission on the part of drawers of cheques which would inevitably result in the dishonour of the cheque issued by DESHNA DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:09:53 +0530 CC No. 2022/2022 Page 8 of 17 Avneet Luthra Vs. Sunita Vijay them. The Apex Court has broadened the horizons of Section 138 by resorting to the Heydon's rule of interpretation and shunned all such deliberate acts/omissions of drawers that lead to dishonour of cheque and reduce the credibility of the instrument.

29. In view of the judicial interpretation of Section 138 of the Negotiable Instruments Act as discussed above, there appears to be no plausible legal or logical reason to exclude the ground of 'advice not received' from its ambit, particularly when such a circumstance lies within the control of the drawer of the cheque. Such an interpretation aligns with the legislative intent behind the provision and is consistent with the principles enunciated in various judicial pronouncements.

30. As such, fourth ingredient also stands satisfied.

31. The fifth ingredient, i.e. receipt of legal notice is denied by the accused no.1 in her defence under Section 251 CrPC. However, accused no.1 admitted in her testimony as DW1 that she was in receipt of legal demand notice. Thus, by virtue of admission, fifth ingredient also stands satisfied qua accused no.1.

32. As regards sixth ingredient, it is undisputed that the accused did not make payment of the amount in cheque to the complainant.

33. Now, only second ingredient remains disputed and needs to be discussed at length to determine the culpability of the accused no.1.

POINTS FOR DETERMINATION:

34. Accordingly, the points for determination in the instant case are as follows:

A. Whether the cheque in question was not drawn in discharge of existing legal debt/liability?

APPRECIATION of EVIDENCE AND ANALYSIS:

A. Whether the cheque in question was not drawn in discharge of existing legal debt/liability?

35. At the cost of repetition it is noted again, that since the accused has admitted the execution of the cheque, the mandatory rebuttable presumption under Section 139 of the NI Act shifts the onus on the accused to prove that the cheque was not drawn in discharge of the legal debt/liability. The accused can do so either by plugging loopholes in the complainant's case using the tool of cross-exami-

nation or by leading independent evidence to create a reasonable doubt in the complainant's case.

36. To discharge his onus, accused no.1 cross-examined the complainant (CW1) and led independent evidence by examining herself as DW1 and accused no.2 as DW2.

37. In his cross-examination, CW1 deposed that he was introduced to the accused through a mutual acquaintance and entered into a sale agreement dated 07.08.2019 for the purchase of the property of accused for Rs. 98 lakhs. He stated that the accused disclosed the property documents were with the bank and assured their release within 15 days of receiving the earnest money. He paid Rs.57 lakhs initially, purportedly in two installments, though he later stated that the payments may have been made in 5-6 tranches. He denied prior knowledge of the exact OTS amount with the bank and stated that he had lodged a police complaint on 28.01.2020. He affirmed that, after the initial payment, the accused executed a sale deed in respect of 50% undivided share of the property. Regarding the remaining Rs.41 lakhs, the complainant stated that he could not recall the exact details without checking records. He claimed to have deposited Rs.29 lakhs in cash into the accused's account in their presence, although he could not produce supporting proof or ITR disclosure, stating the slip may be with the accused and funds were arranged from relatives. He confirmed execution of an MOU dated 02.12.2021 and denied allegations that it was forged or that the cheque in question was issued merely as security for any penalty. He denied the suggestions that he had misused the cheque or filed a false case and stated that by DESHNA DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:10:20 +0530 CC No. 2022/2022 Page 10 of 17 Avneet Luthra Vs. Sunita Vijay the accused continued to remain liable towards him under the terms of the agreement.

38. On the other hand, the accused no.1 has taken the defence that the property sold to the complainant was under mortgage with a bank. In respect thereof, the accused and her husband had availed an OTS from the bank. As per the arrangement, the complainant was to pay the balance amount by February 2020. However, only a partial payment of Rs. 57 lakhs was received against the total consideration of Rs. 98 lakhs. Due to COVID 19, the complainant did not make the payment and the OTS lapsed in March 2020 due to non-payment. The accused admitted partial liability, however did not specify the exact amount of liability towards the complainant.

39. To prove her defence, accused no.1 examined herself as DW1. In her examina-

tion in chief, she stated that the cheque in question, though issued under her signature, was handed over to the complainant only as a security cheque. She admitted her signature on the cheque in question. However, she stated that both she and her husband were engaged in dealings with the complainant concerning a property transaction, wherein the complainant was to pay them a certain amount, some of which was to be used to give interest to the bank. While she admitted that some amount is due to the complainant, she could not specify the exact amount.

40. In her cross-examination, DW1 deposed that she is a postgraduate and is well-

versed in both Hindi and English. She admitted that she is the owner of the property situated at third floor, F-138, Rajouri Garden, New Delhi, and confirmed that an agreement to sell the said property to the complainant was executed for a consideration of Rs.98 lakhs. She acknowledged having received Rs.57 lakhs from the complainant. She admitted signing the agreement to sell i.e Ex.CW1/A and executing two sale deeds dated 11.10.2019 in favour of the complainant and an acquaintance of the complainant, Ms. Bhawna Mehendiratta, Ex.DW1/X and Ex.DW1/Y. However, she denied knowledge regarding the mortgage status of DESHNA DESHNA GOLECHHA Date: 2025.07.29 16:10:28 +0530 CC No. 2022/2022 Page 11 of 17 Avneet Luthra Vs. Sunita Vijay the property at the time of the agreement and also regarding the deposit of Rs.57 lakhs into the bank by her husband.

41. She confirmed that the original property documents were with the bank and ac-

knowledge her signature on Ex.CW1/C, which was signed by her, her husband, and her son Gaurav Vijay, after reading its contents. She admitted signing the cheque in question, which was drawn from a joint bank account held with her husband. She denied that the cheque was issued in discharge of any liability for a loan of Rs.29 lakhs allegedly taken from the complainant and stated that it was given only as security.

42. Next, accused no.2 appeared as DW2 and deposed that they entered into a trans-

action with the complainant in August 2019 for the sale of property bearing No. F-138, 3rd Floor, Rajouri Garden, Delhi, for a consideration of Rs. 98,00,000/-. He stated that the complainant initially paid Rs.15,00,000/- at the time of agreement and a further Rs. 42,00,000/- approximately by October 2020, totaling around Rs. 57,00,000/-. A sale deed was executed in October 2019 for 50% of the said property. He stated that the sale was intended to enable repayment of a loan under an OTS with the bank, of which the complainant was made aware prior to entering into the agreement. He stated that despite repeated requests, the complainant did not make the remaining payments, and the delay resulted in the expiration of OTS. Though a six month extension was initially granted, the bank ultimately cancelled the OTS and imposed a penalty of Rs. 24,00,000/- and the balance payment of Rs. 41,00,000/- was not paid by the complainant until November 2021. Consequently, a fresh agreement was entered into on 02.12.2021 between DW2, accused No.1 and the complainant, wherein it was agreed that the penalty would be shared equally. A cheque of Rs.29,00,000/- was issued by the accused as a security cheque, to be encashed only in the event of further penalties being imposed by the bank. He further stated that the complainant

eventually made the remaining payments and that the sale deed in respect of the property was completed. In February 2022, the complainant transferred DESHNA DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:10:39 +0530 CC No. 2022/2022 Page 12 of 17 Avneet Luthra Vs. Sunita Vijay Rs.12,10,000/- to DW2 as his share of the penalty imposed by the bank. No payments were received thereafter from the complainant. DW2 confirmed signing the agreement dated 02.12.2021 (Ex.CW1/C) voluntarily and after fully understanding its contents. He acknowledged that the terms were mutually agreed upon and reduced into writing.

43. In cross-examination, DW2 admitted that no formal legal notice or written com-

plaint was issued by him to the complainant regarding delay in payment. He denied the suggestions that the cheque in question was issued in discharge of liability for a financial loan or that he and his wife were responsible for the delay and penalties. He asserted that the cheque was issued only as security and that the complainant failed to adhere to the payment terms, causing financial prejudice to him and accused no.1.

44. In the present matter, the foundation of the complainant's case rests upon Ex.

CW1/C, i.e., the MOU dated 02.12.2021. As per the same, the cheque in question was issued by the accused to the complainant in lieu of a financial assistance of Rs.29 lakhs alleged to have been extended by the complainant to the accused. Ex. CW1/C clearly records the mutual agreement between the parties regarding the said financial assistance. Ld. Counsel for the accused has argued that although the MOU envisaged such financial support, the said amount was never actually disbursed by the complainant. On the other hand, the complainant asserts to the contrary that the amount was indeed provided and has been rightly recorded in the MOU. The accused, accordingly, seeks to cast a doubt on the actual disbursement of the financial assistance of Rs.29 lakhs, notwithstanding the contents of Ex. CW1/C which record the agreement regarding financial assistance. In support of their stance, the accused stated that the cheque in question was issued merely as a security cheque against any future penalties that could be levied by the bank. It was further stated that a penalty of Rs. 24 lakhs was imposed by the bank owing to delays in payment, allegedly resulting from the complainant's own delayed payment and thus, this penalty was agreed to be DESHNA DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:10:46 +0530 CC No. 2022/2022 Page 13 of 17 Avneet Luthra Vs. Sunita Vijay borne equally by both the parties. In pursuance of the same, the complainant paid only Rs. 12,10,000/- to the accused and nothing more.

45. Ex. CW1/C expressly notes that the cheque in question was issued towards repayment of Rs. 29 lakhs advanced by the complainant. Notably, the accused persons have acknowledged that they executed Ex. CW1/C after reading and understanding its contents. Even in their plea of defence under Section 251 CrPC, the accused acknowledged having a financial liability towards the complainant but failed to specify the exact amount owed. Both her testimony and the defence indicate this admission, yet the accused did not quantify the liability at any stage of the trial. The contention that half of the penalty amount was to be borne by the complainant remains unsubstantiated, particularly as there is no mention of such an arrangement in Ex. CW1/C. It is also implausible that the cheque for exactly Rs. 29 lakhs was issued merely as security for future

penalties. If that were the case, a blank cheque would have sufficed. Moreover, the accused has not explained how the specific figure of Rs. 29 lakhs was derived. Even otherwise, if the amount of loan was to be finally paid by securing financial assistance from the complainant, the accused failed to show how the scope of future penalty arose. The plea of a OTS raised by the accused also remains unsupported, as no document or evidence was produced to indicate the penalty amount, the terms of settlement, or its payment.

46. The defence taken is inconsistent as on one hand, the accused claims to have sought financial aid from the complainant for clearing penalties, and on the other, denies receiving any such amount and still being able to clear penalties and receive the property documents from the Bank. If no such funds were received, the accused has not explained how the bank dues were cleared. The accused has failed to raise any substantial doubt regarding the veracity of the contents of Ex. CW1/C, except a general denial of receiving further amounts from the complainant. No supporting documents, including bank statements, were produced by the accused to corroborate this or to show that no such DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:10:52 +0530 CC No. 2022/2022 Page 14 of 17 Avneet Luthra Vs. Sunita Vijay payment had actually been made. He further failed to corroborate the stance that 12,10,000/- were received from the complainant for the purpose of bearing half the penalty amount.

47. Furthermore, while the accused has challenged the complainant's financial capacity and questioned the source of funds, such objections overlook the fact that the financial assistance was clearly recorded in Ex. CW1/C. This document reflects the accused's awareness of, and request for, the financial aid. The complainant, under Ex. CW1/A, disbursed a total amount of Rs. 98 lakhs, which demonstrates his capacity to extend a loan of Rs. 29 lakhs. Out of this, the accused has also admitted to having received Rs. 12,10,000/-.

48. Learned counsel for the accused has also emphasized that the complainant failed to reflect the alleged financial assistance of Rs.29 lakhs in his ITRs, and that this omission should weigh in favour of acquittal. However, it must be appreciated that non-disclosure of the transaction in the ITR, by itself, is not conclusive to hold that no legally enforceable debt existed. The Hon'ble Delhi High Court in Dilip Chawla v. Ravinder Kumar & Anr., CRL.REV.P. 607/2016 , has held that while such omissions may give rise to adverse inferences, they cannot override the presumption under Section 139 of the Negotiable Instruments Act if the complainant's version is otherwise corroborated by credible oral or documentary evidence. In the present case, unless the accused successfully rebuts the presumption under Section 139 by raising a probable defence, mere absence of disclosure in tax filings cannot, per se, be a ground of acquittal. Therefore, the evidentiary value of the ITR must be considered in the broader context of the totality of the evidence rather than the only factor in isolation.

49. In the present case, the accused has expressly admitted the transfer of certain amounts from the complainant to him, the execution and contents of Ex. CW1/C, as well as the issuance of the cheque in question for the specific amount of Rs.29 lakhs. He has also acknowledged the discharge of a loan liability towards the bank pursuant to the said transaction. Notably, the defence taken by the accused namely, that the cheque was issued merely as a security against DESHNA GOLECHHA

GOLECHHA Date: 2025.07.29 16:11:00 +0530 CC No. 2022/2022 Page 15 of 17 Avneet Luthra Vs. Sunita Vijay potential future penalties, and that there existed an arrangement for shared liability between the complainant and the accused finds no reflection in Ex. CW1/C, which has been admittedly signed by the accused after fully understanding its terms and implications.

50. Moreover, by seeking financial assistance of Rs.29 lakhs from the complainant, as recorded in Ex. CW1/C, the accused has, by implication, acknowledged the financial capability of the complainant to extend such a substantial amount. These admissions cumulatively undermine the defence version and strengthen the complainant's claim regarding the existence of a legally enforceable debt. Except for the unsubstantiated stance that the amount of Rs. 29 lakhs was not received, the accused has not presented any material to demonstrate the absence of liability. On the contrary, her admission of partial liability without clarifying the exact amount effectively lends support to the complainant's claim regarding both the existence of the liability and the issuance of the cheque in discharge thereof.

51. Thus, on an overall analysis, it can be safely concluded that the accused failed to bring any iota of evidence in support of the line of defence taken by him. He also failed to plug loopholes in the case of complainant by cross-examination. Therefore, accused failed to create reasonable doubts in the case of the complainant and thus, the point is answered in negative.

CONCLUSION:

52. To recapitulate the above discussion, the accused has failed in establishing a probable defence on a standard of preponderance of probabilities to rebut the presumption under section 118 and 139 of the NI Act by punching the holes in the case of the complainant and making the case of the complainant doubtful. The complainant has successfully proved beyond reasonable doubts the ingredients of Section 138 NI Act as against the accused.

by DESHNA DESHNA GOLECHHA GOLECHHA Date: 2025.07.29 16:11:06 +0530 CC No. 2022/2022 Page 16 of 17 Avneet Luthra Vs. Sunita Vijay

53. In the result of the analysis of the present case, Accused No.1 Sunita Vijay is hereby convicted and Accused No.2 Deepak K Vijay is hereby acquitted of the offence punishable under Section 138 of Negotiable Instruments Act, 1881.

54. File be consigned to record room after due compliance.

55. This judgment contains 17 pages and each page bears the signature of the under-signed.

56. Copy of the judgment be uploaded as per rules.

57. Copy of this judgment be given to the parties free of cost as per rules.

Digitally signed by DESHNA DESHNA GOLECHHA GOLECHHA Date:

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Vijay